

Question:

A merchant wants to make a choice of purchase between 2 purchase plans: jewelry worth \$5,000 or electronic gadgets worth \$8,000. His financial advisor speculates that the jewelry market will go up 2.5% while the electronic gadgets market will rise 1.2% within the same month. If the merchant is looking to maximize profit at the end of this month by making a choice, how much profit would this be?

Reasoning + Answer:

<think>
the profit on the jewelry would be $5,000 * 0.025 = 125$
the profit on the electronic gadgets would be $8,000 * 0.012 = 96$
since 125 is greater than 96 , the merchant should choose the jewelry
the profit would be 125
</think>
< answer >
125
</answer>

